CHAPTER

2

National Income

"The concept of national income is an indispensable preparation for tackling the great issues of unemployment, inflation and growth".

- Samuelson

Learning Objectives

1. To understand the meaning of national income and some basic concepts of national income.
2. To know the methods of measuring national income.

2.1 Introduction

National Income provides a comprehensive measure of the economic activities of a nation. It denotes the country's purchasing power. The growth of an economy is measured by the rate at which its real national income grows over time. National income thus serves as an instrument of economic planning. Further, national income is one of the most significant macroeconomic variables. Thus, a clear understanding of the meaning, concepts, measurement and uses of national income is essential.

Nobel laureate Simon Kuznets first introduced the concept of national income.

2.2 Meaning of National Income

In common parlance, National Income means the total money value of all final goods and services produced in a country during a particular period of time (one year).



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